

CRSP Stock File indexes contain historical market summary data for all stocks traded on the NYSE and Nasdaq back to 1926.

Notice the large differences in return between the CRSP Microcap Index and the CRSP total U.S. market over several years. Those differences are surprising considering that both indexes hold thousands of publicly traded U.S. companies. Generally, academics believe that individual company risk is diversified away in a broadly diversified stock portfolio, leaving only market risk. For example, a randomly selected portfolio of 1,000 stocks diversified across several industries is expected to return almost the same performance as another portfolio of 1,000 stocks diversified in the same manner. This is not the case when a portfolio is made up of only microcap stocks. It acts differently from any random portfolio. Microcap indexes have a unique risk factor that cannot be diversified away by adding more microcap stocks.

FIGURE 6-3

Total U.S. Market Index Correlations with the Microcap Index and Midcap Index 36-Month Rolling Correlations

